

accounts

12 · CBSE

Based on 4 year(s) of previous papers

Topic Priority Overview

Topic	Priority	Confidence	Freq	Marks
Voucher types: Debit, Credit, Cash, Transfer (identify & which used)	High	High	4×	1-2 marks (MCQ/one-liner)
Prepare Ledger from Journal — stepwise process	High	High	3×	3 marks (short explanation)
Bank Reconciliation Statement (prepare BRS and adjust Cash Book)	High	High	4×	4 marks (numerical) per paper when present
Two-column Cash Book (Cash and Bank columns) entries & balancing	High	High	4×	4-6 marks (practical entries) often
Journal entries for trade transactions: trade discount, cash discount, returns, settlement with discount	High	High	4×	4-6 marks (journal passing tasks) in almost every paper
Rectification of errors and Suspense Account preparation	High	High	4×	6 marks (error rectification + suspense ledger)
Depreciation — Straight Line Method (fixed instalment on original cost)	High	High	4×	usually 6 marks (machinery account for multiple years) frequently
Depreciation — Written Down Value (WDV) method & machinery disposal (WDV)	Medium	Medium	2×	6 marks (when WDV specifically requested)
Petty Cash Book — Imprest system (analytical form)	Medium	Medium	2×	6 marks (analytical petty cash task)
Provision for Doubtful Debts: calculate %, adjust provision & P&L treatment	High	High	4×	3-4 marks (adjusting entry) and appears in 4/6 mark problems
Adjusting entries: Prepaid (unexpired) expenses and Accrued (outstanding) income/expenses	High	High	4×	3-6 marks (adj entry + effect on final accounts)
Trading, Profit & Loss Account and Balance Sheet preparation from Trial Balance + adjustments	High	High	4×	6 marks (full final accounts) commonly
Sales Book and Purchases Book preparation (subsidiary books)	Medium	Medium	2×	6 marks (prepare sales/purchases day books) occasionally
Bank cheque dishonour and bank charges: journal & Cash Book effects	Medium	Medium	3×	1-4 marks (embedded in cash book/BRS questions)
Trial Balance errors — common types that do not affect trial balance (limitations) and detection	Medium	Medium	3×	3-6 marks (explain or rectify errors)

Cash vs Accrual basis: computation & conceptual differences	Medium	Medium	2×	3 marks (short numerical/conceptual)
Inventory valuation: closing stock valuation rule (cost or NRV whichever lower) and fire/ destruction adjustments	High	High	3×	6 marks when embedded in final accounts; otherwise 1-3 marks
Provision & treatment of Bad Debts recovered (write off & recovery journal flow)	Medium	Medium	3×	3-4 marks (journal entries & P&L effect)
Rectify purchases/sales & book-keeping posting errors (book-source misposting between day books)	Medium	Medium	3×	6 marks (error rectification sets) common
Journal Proper: non-routine entries (insurance claim, loss by fire, acceptance of bills, commission in advance)	Medium	Medium	3×	6-mark journal-proper tasks or set of journal entries
Single Entry / Statement of Affairs / Net worth method (profit from incomplete records)	Medium	Medium	2×	1-6 marks (short MCQ and a 6-mark numerical statement of affairs)
Capital vs Revenue expenditure classification with given scenarios	High	High	3×	3 marks theoretical + embedded in final accounts
Machinery account multi-year schedule (purchase, sale, depreciation, disposal) with partial-year purchases	High	High	4×	6 marks (detailed multi-year machinery A/c tasks) frequent
GST handling in Cash Book / Sales & Purchases (CGST+SGST or IGST on transactions)	Low	Low	2×	Embedded within cash book questions (4 marks) occasionally
Manager commission on net profit (pre-commission basis) and profit-related adjustments	Low	Low	1×	Embedded in 6-mark final accounts question
Treatment of drawings (goods and cash) and effect on capital	Medium	Medium	3×	1-4 marks (embedded in cashbook/journal/ final accounts)
Computation of Gross Profit / Cost of Goods Sold from given ratios (GP% on cost or sales)	Medium	Medium	3×	3 marks (numerical) typically
Final accounts effect of loan interest outstanding and interest charged by bank (outstanding interest treatment)	Medium	Medium	3×	Embedded in final accounts (3-6 marks adjustments)
Credit/ Cash/ Transfer Vouchers	High	High	3×	1 mark MCQ each occurrence
Ledger preparation from Journal	High	High	3×	3 marks (procedural explanation)
Subsidiary books: Purchases/Sales books	Medium	High	2×	6 marks when asked to prepare subsidiary
Rectification of errors & Suspense Account	High	High	4×	6 marks (rectify errors and prepare Suspense Account)
Provision for Doubtful Debts / Bad Debts	High	High	4×	3-4 marks (adjusting entry) and appears in final accounts
Adjusting entries: Prepaid / Accrued (prepaid insurance, accrued commission, outstanding expenses)	High	High	4×	3-4 marks (adjusting entry + show effect)

Trading, Profit & Loss and Balance Sheet preparation (from Trial Balance + adjustments)	High	High	4×	6 marks (comprehensive final accounts) each paper
Trade vs Cash Discount entries (calculation & journal)	High	High	3×	4-6 marks when combined with journal problems
Trial Balance extraction & presentation	Medium	High	3×	3-4 marks (prepare trial balance or identify errors)
Purchases/Sales/Journal to ledger posting (posting practice)	Medium	High	3×	6 marks when combined in subsidiary+ledger tasks
Rectification with Suspense Account (Paper 2 style errors)	High	High	2×	6 marks (suspense corrections)
Depreciation — Written Down Value method (calculation and disposal)	Medium	Medium	2×	6 marks when WDV required (machinery accounts + provision)
Cash Book with discount columns (discount allowed/received handling)	Medium	High	3×	4-6 marks (cash book with discount columns practical)
Source documents: Pay-in-slip / Cash memo / Cheque (usage & role)	Medium	High	2×	1-mark MCQs and short theory
Money measurement concept & Accounting Standards utility	Medium	High	2×	3 marks (conceptual)
Cash Book with Cash + Bank and GST handling	Medium	Medium	2×	4 marks when GST included in Cash Book tasks
Cheque dishonour & bank charges handling (effects on Cash Book and Journal)	Medium	High	3×	Embedded within cash book/BRS tasks (1-4 marks)
Machinery disposal: profit / loss on sale (journal & disposal account)	High	High	3×	6 marks when disposal included with depreciation schedules
Statement of Affairs / Single Entry net worth method	Medium	High	3×	3-6 marks (statement of affairs and profit computation)
Journal entries for special events (fire, charity, theft)	Medium	High	2×	6 marks when a set of events is journalised
Machinery accounts across years (Straight Line original cost) including partial disposals	High	High	3×	6 marks (multi-year schedule) frequent
Statement of Affairs / Incomplete Records profit computation (Paper 4 specific)	Medium	High	1×	6 marks (prepare statement & compute profit)

Detailed Study Notes

Read these notes carefully — they're based on actual patterns found in your past papers.

1. Voucher types: Debit, Credit, Cash, Transfer (identify & which used)

High Conf.

High Priority

Appeared in: Paper 1 · Paper 2 · Paper 3 · Paper 4 · 4× total

Question types: MCQ: Multiple MCQs across papers (4)

Kya Padhna Hai:

- "credit voucher" meaning and what transactions need it (Paper 1 question: "Which of the following item is not concerned with credit voucher?")
- "debit voucher" uses (payments: salary, purchases, payment to creditors) — see Paper 4 "Which voucher is prepared for the payment of salary, purchase of goods"
- identify non-cash transaction voucher = "transfer voucher" (Paper 1: "Transfer voucher, Non-Cash or Transfer vouchers")
- source-doc mapping: which voucher for cash vs non-cash vs bank entries (Paper 3: source documents list includes "Cheque", "Cash Memo", "Pay-in-slip")

Kaise Poochha Jaata Hai:

- Mostly MCQ one-liners asking 'Which voucher is prepared for...' or assertion-reason about reliability/role.
- Expect 1-mark direct identification.

Repeat Pattern:

- Har paper mein 1-mark MCQ style repetition — bahut consistent. Har saal vouchers asked as quick recall.

Key Terms:

credit voucher

debit voucher

cash voucher

transfer voucher

2. Prepare Ledger from Journal — stepwise process

High Conf.

High Priority

Appeared in: Paper 1 · Paper 2 · Paper 3 · 3× total

Question types: Short: 3-mark descriptive (2-3 papers)

Kya Padhna Hai:

- Prepare ledger steps: locate account, enter date, particulars, J.F/L.F refs as in Paper 1 "Write the process of preparing ledger from a journal"
- Debit and credit posting rules when transferring from Journal (Paper 3 statements i-iv referencing debit/credit rules)
- Narration and posting sequence (mention 'enter page number of journal in J.F. column' from Paper 1 process)
- How balances are carried to Trial Balance after ledger posting (Paper 2 trial balance tasks and Paper 1 advantage of journal includes linking to final accounts)

Kaise Poochha Jaata Hai:

Short-essay 3-mark: 'Write the process...' or 'Explain advantages of preparing Journal' — expect stepwise bullet/numbered answer.

Repeat Pattern:

Appeared across multiple papers as a 3-mark procedural question — predictable and repeated.

Key Terms:

J.F. column

L.F. column

posting

trial balance

3. Bank Reconciliation Statement (prepare BRS and adjust Cash Book)

High Conf.

High Priority

Appeared in: Paper 1 · Paper 2 · Paper 3 · Paper 4 · 4× total

Question types: Long: 4-mark numerical (3-4 appearances)

Kya Padhna Hai:

- Prepare BRS showing Plus/Minus items: cheques issued but not presented, cheques deposited but not credited (Paper 1: 'Cheques of ₹ 21,600 were issued... only cheques of ₹ 14,800 were presented')
- Adjust Cash Book for bank charges/insurance/bill dishonour not recorded (Paper 1 'Insurance premium paid by the bank ₹ 1,450')
- When Cash Book balance given, do rectifications only in Cash Book (Paper 1 & Paper 2 repeated instruction)
- Prepare 'Adjusted Cash Book' when pass book items need recording in Cash Book (Paper 4 worked example 'Adjusted Cash Book (Bank Column only)')

Kaise Poochha Jaata Hai:

4-mark practical: compute balance as per Pass Book or Cash Book using list of reconciling items; sometimes 'determine missing amounts' variant appears.

Repeat Pattern:

BRS appears every paper as a 4-mark computational task — very regular.

Key Terms:

cheques issued not presented

cheques deposited not yet credited

bank charges

adjusted cash book

4. Two-column Cash Book (Cash and Bank columns) entries & balancing

High Conf.

High Priority

Appeared in: Paper 1 · Paper 2 · Paper 3 · Paper 4 · 4× total

Question types: Long: 4-6 mark ledger/cashbook problem (frequent)

Kya Padhna Hai:

- Format: Cash column and Bank column totals and balancing (Paper 1: 'Prepare two column cash book...')
- Treatment of discounts in cash book (Paper 2 cash book with discount columns and Paper 3 cash book shows discount allowed/received entries)
- Handling cheques-in-hand, cheques deposited and withdrawn and bank overdraft balances (Paper 3 & Paper 4 bank cheque examples)
- How to treat personal withdrawals and household payments as 'Drawings' (Paper 3 'Drew from bank for household expenses')

Kaise Poochha Jaata Hai:

Transaction list to be posted into Cash Book with totals and closing balances; sometimes require journal entries for non-cash items alongside.

Repeat Pattern:

Regular practical every paper; identical format and expectations each year.

Key Terms:

cash column

bank column

discount allowed

discount received

5. Journal entries for trade transactions: trade discount, cash discount, returns, settlement with discount

High Conf.

High Priority

Appeared in: Paper 1 · Paper 2 · Paper 3 · Paper 4 · 4× total

Question types: Short: Some 3-mark variations | Long: 6-mark journal entry sets (common)

Kya Padhna Hai:

- Journalise credit purchases/sales with trade discount (Paper 1 and Paper 2 'Sold goods... at a trade discount of 10%')
- Entries for returns (sales return / purchase return) including credit notes/debit notes (Paper 1 'Nitin returned goods')
- Settling accounts in full settlement with cash discount (Paper 1 'Received from Nitin ₹14,150 in full settlement')
- Combined trade+cash discount calculation and posting sequence (Paper 2 long journal set and Paper 3 sample journal entries)

Kaise Poochha Jaata Hai:

Long journal entry question: list of dated transactions and ask 'Pass journal entries' — expect multiple debit/credit lines and narration.

Repeat Pattern:

Every paper includes multi-transaction journal-pass problems; format stable and repeated.

Key Terms:

trade discount

cash discount

sales return

purchase return

6. Rectification of errors and Suspense

High Conf.

High Priority

Account preparation

Appeared in: Paper 1 · Paper 2 · Paper 3 · Paper 4 · 4× total

Question types: Long: 6-mark rectification + Suspense A/c (present in all papers)

Kya Padhna Hai:

- Make correcting journal entries for wrong postings (Paper 1 i-v list e.g. 'Cash paid to Amit Verma ₹175 was posted to the credit of Amit Kapoor as ₹157')
- Prepare Suspense Account showing all rectifications and final balance (Paper 1 'He placed the amount in the Suspense Account')
- Typical errors: wrong amount posting, omission, transposition, posting to wrong account, over/under casting of subsidiary books (Paper 2 & Paper 3 lists)
- How to treat discount/interest/returns when rectifying (examples in Paper 2 and Paper 3 rectification lists)

Kaise Poochha Jaata Hai:

6-mark task: given a list of errors discovered after suspense opened — pass rectifying entries and prepare Suspense A/c.

Repeat Pattern:

Appears in every paper as a 6-mark practical — highly repeatable.

Key Terms:

suspense account

rectifying entries

posting errors

omission

7. Depreciation — Straight Line Method (fixed instalment on original cost)

High Conf.

High Priority

Appeared in: Paper 1 · Paper 2 · Paper 3 · Paper 4 · 4× total

Question types: Short: Some 3-mark conceptual asks | Long: 6-mark ledger/dep schedule (regular)

Kya Padhna Hai:

- Prepare Plant & Machinery A/c, Provision for Depreciation & Disposal A/c under SLM when asked (Paper 1 'providing depreciation at 10% p.a. on Straight Line Method')
- Compute depreciation for partial periods when purchase/sale occurs mid-year (Paper 1/2 worked notes show months pro-rata)
- Treatment of sale: compute book value, profit/loss on sale and record disposal entry (Paper 1 'machinery ... was sold for ₹6,000')
- How to present Depreciation in P&L and Provision in Balance Sheet (examples in Papers 1/2/3)

Kaise Poochha Jaata Hai:

6-mark ledger preparation across multiple years; sometimes ask SLM on original cost explicitly.

Repeat Pattern:

SLM machinery problems in all papers; wording consistent: 'provide depreciation at X% p.a. on Straight Line Method'.

Key Terms:

straight line method

original cost

pro-rata months

machinery disposal

8. Provision for Doubtful Debts: calculate %, adjust provision & P&L treatment

High Conf.

High Priority

Appeared in: Paper 1 · Paper 2 · Paper 3 · Paper 4 · 4× total

Question types: MCQ: Occasional MCQ references | Short: 3-4 mark adjusting entry questions (common) | Long: 4-mark ledger/adjustment in final accounts

Kya Padhna Hai:

- Calculate new provision % on debtors after writing off specific bad debts (Paper 2: 'Maintain provision for doubtful debts @ 5% on debtors')
- Passing adjusting journal: Profit & Loss A/c Dr. To Provision for Doubtful Debts A/c (Paper 2/Paper 3 examples)
- Show provision in Balance Sheet as deduction from Debtors and effect on P&L (Paper 3 'show them in the Profit and Loss Account and the Balance Sheet')
- Treatment when old provision exists: adjust new provision by charging difference to P&L (Paper 1 & Paper 2 worked solutions show 'Less: Old Provision')

Kaise Poochha Jaata Hai:

Short adjusting entry or 4-mark account question: compute provision after bad-debt and post journal + show extract in final accounts.

Repeat Pattern:

Very frequent — every paper includes provision calculation or adjustment.

Key Terms:

provision for doubtful debts

bad debts

adjusting entry

net realizable value

9. Adjusting entries: Prepaid (unexpired) expenses and Accrued (outstanding) income/ expenses

High Conf.

High Priority

Appeared in: Paper 1 · Paper 2 · Paper 3 · Paper 4 · 4× total

Question types: MCQ: MCQ style references present | Short: 3-mark adjusting entry questions | Long: 4-mark 'pass adjusting entry and show how it appears in final accounts' tasks

Kya Padhna Hai:

- Pass adjusting entry for accrued income (Paper 1 'Commission earned but not received Rs 1,800')
- Pass adjusting entry for prepaid insurance (Paper 1 'Prepaid insurance amounted to Rs 2,000')
- Show effect in Profit & Loss extract and Balance Sheet extracts (Paper 1/3 examples)
- Practice converting Cash basis items to accrual basis: treatment of outstanding interest, prepaid expenses, and unearned income (Paper 4 'Rent received in advance')

Kaise Poochha Jaata Hai:

Short question: 'Pass an adjusting entry and show how will this appear in final accounts' or embedded adjustments in final accounts question.

Repeat Pattern:

Explicit adjusting entries appear every paper — high recurrence.

Key Terms:

prepaid insurance

accrued commission

outstanding interest

unearned income

10. Trading, Profit & Loss Account and Balance Sheet preparation from Trial Balance + adjustments

High Conf.

High Priority

Appeared in: Paper 1 · Paper 2 · Paper 3 · Paper 4 · 4× total

Question types: Long: 6-mark comprehensive final accounts problems each paper

Kya Padhna Hai:

- Prepare Trading A/c with adjustments: opening/closing stock, carriage inwards, wages split between trading and P&L (Paper 1 'Wages and Salaries is to be charged to Trading A/c and the balance to P & L A/c')
- P&L adjustments: bad debts/write-off, new provision and old provision, prepaid/unexpired expenses (Paper 1 & Paper 2 examples)
- Balance Sheet presentation: treatment of loan with outstanding interest, bills payable, investments and reserves (Paper 1 'Loan from X @ 18% p.a.')
- Treating proprietor's personal use of stationery as drawings and deductions from capital (Paper 1 'Entire stationery was used by the proprietor for own purpose')

Kaise Poochha Jaata Hai:

6-mark comprehensive problem: prepare Trading & P&L A/c and Balance Sheet from the given trial balance and adjustments.

Repeat Pattern:

Every paper includes at least one full final-accounts 6-mark question — the central tested skill.

Key Terms:

trading a/c

profit & loss

closing stock

balance sheet adjustments

II. Inventory valuation: closing stock valuation rule (cost or NRV whichever lower) and fire/destruction adjustments

High Conf.

High Priority

Appeared in: Paper 3 · Paper 4 · Paper 1 · 3× total

Question types: MCQ: MCQ mention in Paper 4 | Short: Short entry adjustments | Long: Embedded final accounts 6-mark with fire/loss adjustments (Paper 4)

Kya Padhna Hai:

- Rule: 'cost or net realisable value, whichever is less' when valuing closing stock (Paper 4 explicit MCQ)
- Treatment when stock destroyed by fire: deduct cost of destroyed stock from purchases and show loss in P&L (Paper 3 'Stock of the Value of ₹ 4,000 was destroyed by fire...')
- IGST/CGST treatment when destroyed stock purchased with tax (Paper 3 GST example: 'Stock was purchased paying IGST @ 12%')
- Practical effect on gross profit and closing stock line in Trading A/c

Kaise Poochha Jaata Hai:

MCQ testing rule or embedded adjustment in final accounts 6-mark question.

Repeat Pattern:

Stock valuation rule appears in MCQs and full accounts adjustments across papers.

Key Terms:

closing stock

net realisable value

stock destroyed by fire

insurance claim

12. Capital vs Revenue expenditure

High Conf.

High Priority

classification with given scenarios

Appeared in: Paper 3 · Paper 4 · Paper 1 · 3× total

Question types: MCQ: MCQ and short justification items | Short: 3-mark conceptual classification | Long: Included as part of larger adjustments in final accounts

Kya Padhna Hai:

- Definition: capital exp benefit >1 year, revenue exp consumed within period (Paper 4 question 'Explain i. Capital Expenditure ii. Revenue Expenditure')
- Examples given in papers: painting new factory (capital) vs Diwali painting (revenue) (Paper 4 'spent on painting the new factory; and ₹400 on next Diwali')
- Deferred revenue expenditure examples such as large advertising (Paper 4 'Deferred Revenue expenditure')
- How to treat repairs vs installation vs improvements when preparing final accounts (Paper 4 'wages ₹5,000 paid for assembling furniture debited to Wages')

Kaise Poochha Jaata Hai:

Short theory 3-mark or classification list; often in scenario form (which items capital/revenue).

Repeat Pattern:

Appears every year across papers as a standalone concept or embedded in adjustments.

Key Terms:

capital expenditure

revenue expenditure

deferred revenue

installation costs

13. Machinery account multi-year schedule (purchase, sale, depreciation, disposal) with partial-year purchases

High Conf.

High Priority

Appeared in: Paper 1 · Paper 2 · Paper 3 · Paper 4 · 4× total

Question types: Long: 6-mark ledger + notes (present in most papers)

Kya Padhna Hai:

- Recording purchases on different dates and depreciation pro-rata for months (Paper 1 'New machinery purchased on 1st Oct for ₹50,000...')
- Entries for sale of a machine: compute book value after accumulated depreciation and record bank and profit/loss on disposal (Paper 1 'machinery of original value ₹20,000...sold for ₹6,000')
- Prepare Machinery A/c, Provision for Depreciation A/c and Machinery Disposal A/c when asked (Paper 2 & Paper 4)
- Be fluent with both SLM and WDV options and transfer of accumulated depreciation on disposal

Kaise Poochha Jaata Hai:

Long practical ledger problem across multiple years showing purchases, disposals, depreciation entries and balancing.

Repeat Pattern:

Almost every paper contains a machinery multi-year ledger problem (core repeated practical).

Key Terms:

machinery account

disposal account

book value

pro-rata depreciation

14. Credit/ Cash/ Transfer Vouchers

High Conf.

High Priority

Appeared in: Paper 1 · Paper 4 · Paper 2 · 3× total

Question types: MCQ: Direct identification (1-mark)

Kya Padhna Hai:

Know definitions and uses of credit voucher (for recording receipts/credit transactions), debit voucher (payments/expenses), cash voucher (cash payments/receipts) and transfer voucher (non-cash transfers). Be able to identify which voucher type applies to examples such as credit purchase, cash payment, payment of salary, or movement between ledger accounts.

Kaise Poochha Jaata Hai:

Typically asked as 1-mark MCQs: 'Which of the following is not concerned with credit voucher?' or 'Credit purchase of furniture is recorded through which voucher?'.

Repeat Pattern:

Frequent one-line MCQs across papers. Expect quick identification.

Key Terms:

credit voucher

debit voucher

cash voucher

transfer voucher

15. Ledger preparation from Journal

High Conf.

High Priority

Appeared in: Paper 1 · Paper 2 · Paper 3 · 3× total

Question types: Short: 3-mark explanation (process)

Kya Padhna Hai:

Memorise the step-by-step process: locate ledger account to be debited/credited, enter date and particulars, write journal reference (J.F/L.F), enter amounts on respective sides, include narration and page references. Understand cross-referencing (J.F/L.F.) and how ledger balances feed the trial balance.

Kaise Poochha Jaata Hai:

Asked as a short-answer 3-mark question: 'Write the process of preparing ledger from a journal.' Provide numbered steps and brief explanation.

Repeat Pattern:

Recurring 3-mark topic across papers; answer with concise numbered steps and example references.

Key Terms:

posting

J.F.

L.F.

ledger

16. Rectification of errors & Suspense Account

High Conf.

High Priority

Appeared in: Paper 1 · Paper 2 · Paper 3 · Paper 4 · 4× total

Question types: Long: 6-mark rectification plus Suspense A/c preparation

Kya Padhna Hai:

Recognise common errors (wrong account posting, omission, wrong amount, cast/total errors) and prepare journal entries to rectify each. If trial balance difference was placed in Suspense A/c, show rectifications by posting correcting entries and then prepare Suspense Account to show clearing or closing balance.

Kaise Poochha Jaata Hai:

Given a list of errors discovered after suspense was opened: 'Pass the Journal entries necessary to rectify these errors and show the Suspense Account'. Provide correcting journal entries and ledger Suspense A/c.

Repeat Pattern:

Every paper includes such a 6-mark rectification question; practise standard error patterns and correcting entries.

Key Terms:

suspense account

rectifying entries

posting errors

trial balance difference

17. Provision for Doubtful Debts / Bad Debts

High Conf.

High Priority

Appeared in: Paper 1 · Paper 2 · Paper 3 · Paper 4 · 4× total

Question types: MCQ: Occasional | Short: 3-mark adjusting entry | Long: 4-mark ledger/Provision account and P&L effect

Kya Padhna Hai:

Calculate new provision % on debtors after writing off bad debts. Pass adjusting journal: Profit & Loss A/c Dr. To Provision for Doubtful Debts A/c and know presentation: provision deducted from Debtors in Balance Sheet. When old provision exists, charge only the difference to P&L.

Kaise Poochha Jaata Hai:

Given trial balance/debtors and instruction (e.g., maintain provision at X%): 'Pass adjusting entry and show how will this appear in final accounts' or prepare Provision for Doubtful Debts Account.

Repeat Pattern:

Frequently appears as small adjustment or part of final accounts; must show both journal and final presentation.

Key Terms:

provision for doubtful debts

bad debts

adjusting entry

net realizable value

18. Adjusting entries: Prepaid / Accrued (prepaid insurance, accrued commission, outstanding expenses)

High Conf.

High Priority

Appeared in: Paper 1 · Paper 2 · Paper 3 · Paper 4 · 4× total

Question types: MCQ: Occasional | Short: 3-mark adjusting entry tasks | Long: Embedded in final accounts

Kya Padhna Hai:

Identify when an expense is prepaid (asset) vs outstanding (liability) and when income is accrued vs received in advance. Pass adjusting entries: e.g., Prepaid Insurance A/c Dr. To Insurance A/c; Accrued Commission A/c Dr. To Commission A/c. Show extraction in P&L and Balance Sheet (prepaid as current asset; accrued as asset or liability as applicable).

Kaise Poochha Jaata Hai:

Short adjusting entry questions or included as adjustments in Trading/P&L and Balance Sheet preparation.

Repeat Pattern:

Appears every paper; examiners expect both journal and presentation in final accounts.

Key Terms:

prepaid

accrued

outstanding

adjusting entry

19. Trading, Profit & Loss and Balance Sheet preparation (from Trial Balance + adjustments)

High Conf.

High Priority

Appeared in: Paper 1 · Paper 2 · Paper 3 · Paper 4 · 4× total

Question types: Long: 6-mark full final accounts problem

Kya Padhna Hai:

Prepare trading account (opening stock, purchases net of returns, carriage inwards, direct wages), then Profit & Loss (indirect expenses, adjustments for prepaid/outstanding, bad debts/provision), finally prepare Balance Sheet (classify current/non-current, show provisions and adjustments). Practice series of adjustments: outstanding interest, prepaid insurance, commission in advance, draw-downs, closing stock valuation, and treatment of stationery used by proprietor.

Kaise Poochha Jaata Hai:

Given a trial balance and list of adjustments: 'Prepare Trading, Profit & Loss Account and Balance Sheet for the year ended...' — expect full accounts with workings.

Repeat Pattern:

Core 6-mark question in every paper; mastering format and common adjustments is essential.

Key Terms:

trading a/c

profit & loss

closing stock

balance sheet

20. Trade vs Cash Discount entries (calculation & journal)

High Conf.

High Priority

Appeared in: Paper 2 · Paper 1 · Paper 3 · 3× total

Question types: MCQ: MCQ conceptual differences | Short: Journal entries for discounts (3-6 marks) | Long: Long journal sets often include both discounts

Kya Padhna Hai:

Distinguish trade discount (deducted from list/invoice price, not recorded in books) and cash discount (allowed/received at payment, recorded in books). Practice journal entries where both apply: first apply trade discount to compute invoice amount, then apply cash discount at settlement and record Discount Allowed/Received in ledger.

Kaise Poochha Jaata Hai:

Problems provide list prices and ask for journal entries for purchase/sale showing trade discount and cash discount (Paper 2 & Paper 1 examples).

Repeat Pattern:

Commonly paired with multi-line journal questions; ensure correct sequence of discount application and ledger posting.

Key Terms:

trade discount

cash discount

discount allowed

discount received

21. Rectification with Suspense Account (Paper 2 style errors)

High Conf.

High Priority

Appeared in: Paper 2 · Paper 3 · 2× total

Question types: Long: 6-mark rectification including Suspense A/c preparation

Kya Padhna Hai:

Common errors for Paper 2 include posting to wrong account names, goods recorded in wrong books, wrong amounts and double postings. Learn journal rectifications and prepare Suspense A/c to clear differences. Understand examples: credit sales posted to purchase book, bills receivable recorded in bills payable book and similar mispostings.

Kaise Poochha Jaata Hai:

Given list of errors and a suspense opening, pass rectifying entries and prepare Suspense Account to show how difference disappears.

Repeat Pattern:

Paper 2 includes an extended suspense rectification with many specific errors — practise similar multi-error correction.

Key Terms:

suspense

rectification

misposting

trial balance difference

22. Machinery disposal: profit / loss on sale (journal & disposal account)

High Conf.

High Priority

Appeared in: Paper 1 · Paper 2 · Paper 3 · 3× total

Question types: Long: 6-mark machinery disposal ledger and working note for profit/loss

Kya Padhna Hai:

Compute book value at date of sale (cost less accumulated depreciation), record cash/bank received and transfer remaining book value to Machinery Disposal Account. The balancing figure in Disposal A/c is profit or loss on sale and is transferred to Profit & Loss A/c. Practice partial-year depreciation up to sale date and ensure accumulated depreciation moved correctly.

Kaise Poochha Jaata Hai:

Given machinery purchase dates, depreciation method and sale date/price: 'Prepare Machinery Disposal Account and show profit/loss with working notes.'

Repeat Pattern:

Commonly paired with multi-year depreciation problems; examiner expects Disposal A/c as proof of profit/loss.

Key Terms:

machinery disposal

book value

accumulated depreciation

profit on sale

23. Machinery accounts across years (Straight Line original cost) including partial disposals

High Conf.

High Priority

Appeared in: Paper 4 · Paper 1 · Paper 2 · 3× total

Question types: Long: 6-mark multi-year machinery account and depreciation on original cost

Kya Padhna Hai:

- Prepare Machinery A/c across years: record purchases, sales, and annual depreciation on original cost (SLM).
- Compute depreciation for full years and pro-rata for partial-year acquisition or sale. When machinery sold, compute book value (cost less accumulated depreciation) to find profit/loss and post to Disposal A/c. Present closing balances year-on-year as shown in sample answers.

Kaise Poochha Jaata Hai:

Given multiple purchases/sales across years with straight line rate, 'Show Machine account till YYYY' and prepare Disposal/Depreciation schedules.

Repeat Pattern:

- Very common across papers; memorise template of Machinery A/c / Provision (or Depreciation) / Disposal A/c.

Key Terms:

straight line method

original cost

accumulated depreciation

machinery disposal

24. Depreciation — Written Down Value (WDV) method & machinery disposal (WDV)

Medium Conf.

Medium Priority

Appeared in: Paper 1 · Paper 2 · 2× total

Question types: Long: 6-mark ledger with WDV (Paper 1 OR option and Paper 2 option)

Kya Padhna Hai:

- Prepare Machinery Account + Provision for Depreciation under WDV (Paper 1 OR 'Depreciation is provided at 20% per annum on the written down value method')
- When part machinery sold, transfer proportionate accumulated depreciation to Disposal A/c (Paper 1 example with part sale)
- Show Profit & Loss impact as balancing figure in Disposal A/c
- Closing WDV calculation across years and opening balances for next year

Kaise Poochha Jaata Hai:

6-mark question in optional part; prepare three ledger accounts: Machinery, Provision for Depreciation, Machinery Disposal.

Repeat Pattern:

- Appeared in Paper 1 option and Paper 2 as alternate method — less frequent than SLM but present.

Key Terms:

WDV

provision for depreciation

machinery disposal

accumulated depreciation

25. Petty Cash Book — Imprest system (analytical form)

Medium Conf.

Medium Priority

Appeared in: Paper 1 · Paper 3 · 2× total

Question types: Long: 6-mark petty cash analytical posting

Kya Padhna Hai:

- Imprest amount and make-up: record initial petty cash in hand and receipt to make imprest (Paper 1 'amount of imprest being ₹ 5,000')
- Analytical columns: Conveyance, Printing & Stationery, Postage, Wages etc. (Paper 1 transaction list names these exact columns)
- Treatment of balance c/d and replenishment entry to restore imprest
- How to treat petty payments for proprietor personal use vs office use (Paper 1 sample shows stamps, wages, charity)

Kaise Poochha Jaata Hai:

6-mark practical: enter transactions in petty cash book in analytical form and balance at period end.

Repeat Pattern:

Appeared as a 6-mark practical in Paper 1 and Paper 3 variations; good chance to appear.

Key Terms:

imprest

analytical petty cash

replenishment

balance c/d

26. Sales Book and Purchases Book preparation (subsidiary books)

Medium Conf.

Medium Priority

Appeared in: Paper 1 · Paper 2 · 2× total

Question types: Long: 6-mark subsidiary book preparation (Paper 1 and 2)

Kya Padhna Hai:

- Record credit purchases / credit sales at invoice list price then apply trade discount (Paper 1 'purchases 10 chairs @ Rs 200 each less trade discount 10%')
- Format of Sales Book (invoice no., particulars, details column) and Purchases Book (invoice, particulars) as in Paper 1 samples
- Treatment of cash purchases/sales vs credit in day books
- Totalling to post to Purchase and Sales account and carry forward to ledger (Paper 2 sample posting to ledger)

Kaise Poochha Jaata Hai:

Given set of transactions — prepare Purchase Book and Sales Book and show totals; sometimes follow-up to ledger posting.

Repeat Pattern:

Appeared a few times (Paper 1 and Paper 2) — moderately frequent.

Key Terms:

purchase book

sales book

trade discount

invoice

27. Bank cheque dishonour and bank charges: journal & Cash Book effects

Medium Conf.

Medium Priority

Appeared in: Paper 1 · Paper 3 · Paper 4 · 3× total

Question types: Short: Short adjustments within cashbook tasks | Long: Included as part of 4-mark cash book/BRS tasks

Kya Padhna Hai:

- Treatment when cheque deposited is later dishonoured: reverse bank credit and debit bank charges (Paper 1 'A cheque of ₹ 4,200 was credited in the first week of April')
- Bank debits for collection charges and effect on adjusted cashbook (Paper 4 'Bank credited the amount on 23 June and debited ₹ 4 as its collection charges')
- Entry for cheque dishonour in journal and adjustment in customer account (Paper 3 'Cheque received from Nakul dishonoured, Bank debits ₹ 20')
- Handling of cheques-in-hand and their later deposit dates in Cash Book

Kaise Poochha Jaata Hai:

Appears inside cash book exercises and BRS calculations — must show reversing entries and bank charges treatment.

Repeat Pattern:

Seen regularly within cashbook/BRS problems across papers.

Key Terms:

cheque dishonour

bank charges

reversal entry

cheques-in-hand

28. Trial Balance errors — common types that do not affect trial balance (limitations) and detection

Medium Conf.

Medium Priority

Appeared in: Paper 1 · Paper 2 · Paper 3 · 3× total

Question types: MCQ: 1-mark conceptual items present | Short: 3-mark explanation of limitations | Long: 6-mark rectification problems where trial balance was out-by (common)

Kya Padhna Hai:

- List limitations: errors of omission, principle, compensating errors, wrong amount, wrong account posting (Paper 1 'limitations of a trial balance')
- Recognise errors that do not affect trial balance: complete omission, wrong account but equal amounts, etc.
- How to correct when trial balance difference posted to Suspense A/c and later rectified (Paper 3 and Paper 1 examples)
- Practical rectification entries for typical errors (paper examples include posting to wrong person, wrong amount, transposition)

Kaise Poochha Jaata Hai:

Either short theory 3-mark or as part of a 6-mark rectification/suspense question.

Repeat Pattern:

Rectification + suspense always paired with trial balance difference in multiple papers.

Key Terms:

errors of omission

errors of principle

compensating errors

suspense account

29. Cash vs Accrual basis: computation & conceptual differences

Medium Conf.

Medium Priority

Appeared in: Paper 1 · Paper 2 · 2× total

Question types: MCQ: Some MCQ/A-R items referencing cash/accrual | Short: 3-mark differences and numerical example (Paper 1 income computation)

Kya Padhna Hai:

- Definition of Cash basis and Accrual basis (Paper 1 asked cash vs accrual basis computation for Rohan's income)
- Compute income under cash and accrual given receipts, outstanding and previous year fees (Paper 1 numeric example 'Find out Rohan's income following the cash basis and accrual basis')
- Limitations of cash basis and why accrual is preferred (Paper 3 'Why is cash basis not popular?')
- Adjusting entries required to convert cash-basis numbers to accrual figures

Kaise Poochha Jaata Hai:

Either an assertion/reason MCQ or a 3-mark short computation question.

Repeat Pattern:

Seen in explanation+numerical form in Paper 1 and conceptual in Paper 3.

Key Terms:

cash basis

accrual basis

outstanding expense

previous year fees

30. Provision & treatment of Bad Debts recovered (write off & recovery journal flow)

Medium Conf.

Medium Priority

Appeared in: Paper 1 · Paper 3 · Paper 2 · 3× total

Question types: Short: 3-mark journal entries | Long: 4-mark account/provision adjustments

Kya Padhna Hai:

- Journal entry to write off bad debt: Bad Debts A/c Dr. To Debtor A/c (Paper 3 example 'write off ₹ 5,000 as bad debts')
- When recovered later: Bank/Cash Dr. To Bad Debts Recovered A/c or To Debtor A/c depending on earlier treatment (Paper 3 'bad-debts recovered')
- Interaction with Provision for Doubtful Debts when recovering previously written-off amounts (Paper 2/3 worked examples)
- Presentation: Bad debts in P&L, provision shown under debtors in Balance Sheet

Kaise Poochha Jaata Hai:

Short journal passing or included in final accounts adjustments.

Repeat Pattern:

Frequent small adjustment across papers; often paired with provision calculation.

Key Terms:

bad debts

bad debts recovered

provision

write off

31. Rectify purchases/sales & book-keeping posting errors (book-source misposting between day books)

Medium Conf.

Medium Priority

Appeared in: Paper 2 · Paper 3 · Paper 4 · 3× total

Question types: Long: 6-mark rectification & suspense style problems

Kya Padhna Hai:

- Typical mispostings: credit sale posted to purchase book; bills receivable recorded in bills payable book (Paper 4 errors list)
- Journal rectifying entries for each misposting and effect on Suspense
- Recognise errors where ledger balances were correct but totals wrong (casting errors) and correct via suspense
- Understand how to correct purchase/purchase return/sales return transposition mistakes (Paper 2 & 4 lists)

Kaise Poochha Jaata Hai:

Given several mispostings — ask to pass rectifying entries and prepare Suspense A/c.

Repeat Pattern:

Frequently appears as a list of 5-10 errors to correct in 6 marks.

Key Terms:

misposting

purchase book

sales book

rectifying entry

32. Journal Proper: non-routine entries (insurance claim, loss by fire, acceptance of bills, commission in advance)

Medium Conf.

Medium Priority

Appeared in: Paper 2 · Paper 3 · Paper 4 · 3× total

Question types: Short: Some short journal line items | Long: 6-mark journal proper full set

Kya Padhna Hai:

- Entries for insurance claim admitted and how to record partial settlement (Paper 2 'Insurance company paid 80% in full and final settlement')
- Entries for loss by fire, admit claim then bank receipts vs P&L (Paper 3/4 'Goods destroyed by fire... Insurance Claim lodged')
- Recording acceptance/discounting of bills (Paper 2 'Accepted a bill at 2 months for ₹15,000')
- Commission received in advance: split between current income and liability (Paper 3 'Commission received ₹25,000, 20% being received in advance')

Kaise Poochha Jaata Hai:

Journal proper question: list of business events asking to pass journal entries.

Repeat Pattern:

Presents in several papers; format similar across years.

Key Terms:

insurance claim

loss by fire

commission in advance

acceptance of bill

33. Single Entry / Statement of Affairs / Net worth method (profit from incomplete records)

Medium Conf.

Medium Priority

Appeared in: Paper 1 · Paper 4 · 2× total

Question types: MCQ: 1-mark MCQ references | Short: 3-mark explanation or computation | Long: 6-mark statement of affairs problem (Paper 4)

Kya Padhna Hai:

- Net worth method formula: closing capital - opening capital adjustments to find profit (Paper 1 'In the case of the net worth method...')
- Prepare statement of affairs showing assets and liabilities in single entry (Paper 4 'Statement of Affairs ... prepare profit or loss')
- Treatment of introduced capital and drawings in the computation (Paper 4 examples show fresh capital and drawings adjustments)
- Convert incomplete records to capital changes and compute profit by reconciliation

Kaise Poochha Jaata Hai:

Either MCQ or a 6-mark problem providing opening/closing particulars asking profit or prepare statement of affairs.

Repeat Pattern:

Seen as MCQ and full problem across different papers but not in every paper.

Key Terms:

single entry

statement of affairs

net worth method

opening/closing capital

34. Treatment of drawings (goods and cash) and effect on capital

Medium Conf.

Medium Priority

Appeared in: Paper 1 · Paper 3 · Paper 4 · 3× total

Question types: MCQ: MCQ references to drawings type | Short: Short journaling of drawings | Long: Included in cash book and final accounts problems

Kya Padhna Hai:

- Distinguish cash drawings vs drawings in goods and treat goods drawings as reduction of purchases (Paper 4 'goods worth ₹ 25,000 and cash ₹ 40,000 taken away by proprietor')
- Journal entry: Drawings A/c Dr. To Cash/Purchases A/c as applicable
- Effect on capital: show drawings deducted from capital in Balance Sheet (Paper 4 and Paper 3 final accounts show draw-down)
- Treatment of proprietor's personal expenses paid by business (income tax, insurance) as drawings (Paper 3 'Payment of income tax is treated as drawings')

Kaise Poochha Jaata Hai:

Embedded in cash book/journal problems and final accounts adjustments; expect to post to Drawings A/c.

Repeat Pattern:

Repeated in practical cashbook/journal scenarios across papers.

Key Terms:

drawings

personal use

deduction from capital

goods taken by proprietor

35. Computation of Gross Profit / Cost of Goods Sold from given ratios (GP% on cost or sales)

Medium Conf.

Medium Priority

Appeared in: Paper 2 · Paper 3 · Paper 4 · 3× total

Question types: MCQ: Some MCQ style calculations | Short: 3-mark numeric computation | Long: Embedded in final accounts calculations

Kya Padhna Hai:

- Convert between GP% on cost and GP% on sales using formulae (Paper 2 'Gross Profit 33% on Cost' style)
- Solve for Sales/COGS given one of the values (Paper 2 question on calculate Gross Profit and Cost of Goods Sold)
- Use in final accounts to compute missing purchases or sales figures
- Be careful with marking basis: GP on cost vs GP on sales changes formula

Kaise Poochha Jaata Hai:

Short numeric question: find GP and COGS given net sales and percent on cost/sales.

Repeat Pattern:

Appears as small 3-mark computation across years.

Key Terms:

gross profit

cost of goods sold

GP% on cost

GP% on sales

36. Final accounts effect of loan interest outstanding and interest charged by bank (outstanding interest treatment)

Medium Conf.

Medium Priority

Appeared in: Paper 1 · Paper 2 · Paper 4 · 3× total

Question types: MCQ: MCQ references | Short: Short adjustment lines | Long: Included in final accounts problems

Kya Padhna Hai:

- Compute interest on loan for part-year or full year and show outstanding interest as current liability (Paper 1 'Loan from X @ 18% p.a. No interest has been paid so far')
- When bank charges/interest debited by bank not recorded in cash book — adjust cash book and show outstanding/paid portion (Paper 3 'Interest debited by bank ₹ 650')
- Present outstanding interest in Balance Sheet under current liabilities and add to interest expense in P&L
- Example: compute outstanding interest when trial balance shows partial payment and rate/time given (Paper

2 examples)

Kaise Poochha Jaata Hai:

Adjustment line in final accounts; compute interest and show P&L/Balancesheet effect.

Repeat Pattern:

Frequently present in final accounts questions requiring careful time apportionment.

Key Terms:

outstanding interest

interest charged by bank

current liability

P&L charge

37. Subsidiary books: Purchases/Sales books

High Conf.

Medium Priority

Appeared in: Paper 1 · Paper 2 · 2× total

Question types: Long: 6-mark practical (prepare purchases book and sales book)

Kya Padhna Hai:

Learn format and columns of Purchase Book and Sales Book (invoice details, particulars, amounts). Apply trade discounts at invoice stage (deduct from list price) and post totals to Purchase and Sales accounts. Distinguish cash purchases/sales from credit day books and know how returns are recorded in Purchase Return and Sales Return books.

Kaise Poochha Jaata Hai:

Given a list of transactions, asked to 'Prepare the sales book and purchases book ...' or post subsidiary books to ledger and extract trial balance.

Repeat Pattern:

Appears as full subsidiary book task occasionally; practice posting totals to ledger and preparing trial balance.

Key Terms:

purchase book

sales book

trade discount

returns outward

38. Trial Balance extraction & presentation

High Conf.

Medium Priority

Appeared in: Paper 2 · Paper 1 · Paper 3 · 3× total

Question types: MCQ: Some MCQ types | Short: Prepare Trial Balance extract (3-4 marks)

Kya Padhna Hai:

Transfer ledger closing balances to Trial Balance format: list account names with debit or credit balances, ensure totals match. Understand which account balances appear on which side (e.g., purchases, assets debit; sales, capital credit). Recognise that a tallied trial balance is not proof of absence of errors.

Kaise Poochha Jaata Hai:

Either a short task to prepare trial balance from given balances or identification of which balances are debit/credit (Paper 2 'On which side of the Trial Balance the following Ledger balance will appear').

Repeat Pattern:

Occasional but essential for later final accounts; practice posting trial balance from ledger extracts.

Key Terms:

trial balance

debit balance

credit balance

ledger balances

39. Purchases/Sales/Journal to ledger posting (posting practice)

High Conf.

Medium Priority

Appeared in: Paper 2 · Paper 1 · Paper 3 · 3× total

Question types: Long: Posting totals from subsidiary books to ledger and preparing trial balance

Kya Padhna Hai:

Practice the flow: record transactions in purchases book/sales book/journal, post individual ledger entries for debtors/creditors and post totals to Purchase/Sales accounts. Learn adjustments like returns, discounts and bills accepted and how they affect ledger balances.

Kaise Poochha Jaata Hai:

Given subsidiary book totals and journal entries, post to ledger and take out trial balance (Paper 2 long task).

Repeat Pattern:

Common combined task: subsidiary books !' ledger !' trial balance; important skill for practical sections.

Key Terms:

posting

subsidiary books

ledger

trial balance

40. Depreciation — Written Down Value method (calculation and disposal)

Medium Conf.

Medium Priority

Appeared in: Paper 2 · Paper 1 · 2× total

Question types: Long: 6-mark machinery accounts under WDV

Kya Padhna Hai:

Compute depreciation each year on written down value basis, prepare Machinery A/c and Provision for Depreciation A/c, and record disposal of part machinery with transfer of appropriate accumulated depreciation to Disposal A/c. Be careful with partial-year calculations when purchases/sales occur mid-year.

Kaise Poochha Jaata Hai:

6-mark ledger preparation: WDV depreciation schedule, disposal account and provision entries (Paper 2 example).

Repeat Pattern:

Less frequent than SLM but appears as option/alternate method in some papers; know both methods.

Key Terms:

WDV

provision for depreciation

machinery disposal

accumulated depreciation

41. Cash Book with discount columns (discount allowed/received handling)

High Conf.

Medium Priority

Appeared in: Paper 2 · Paper 1 · Paper 3 · 3× total

Question types: Long: 4-6 mark cash book entries including discount columns

Kya Padhna Hai:

Practice two-column cash book with additional discount columns: record discounts allowed on payments (debit side discount column) and discounts received (credit side discount column). Understand that discount columns are totaled but not balanced; discounts affect Discount Allowed/Received accounts.

Kaise Poochha Jaata Hai:

Given transactions including cash receipts/payments with discounts, prepare cash book showing discount columns and closing balances.

Repeat Pattern:

Common practical across papers; ensure comfort with discount column mechanics.

Key Terms:

discount allowed

discount received

cash book

discount columns

42. Source documents: Pay-in-slip / Cash memo / Cheque (usage & role)

High Conf.

Medium Priority

Appeared in: Paper 3 · Paper 1 · 2× total

Question types: MCQ: Multiple 1-mark source-doc identification | Short: Short explanation

Kya Padhna Hai:

Know common source documents and their purpose: pay-in-slip for depositing cash/cheque into bank, cash memo for cash sales, cheque (counterfoil) for bank payments. Be able to state who retains which copy (seller/buyer/bank) and where entries originate.

Kaise Poochha Jaata Hai:

1-mark MCQs: 'Which source document is used for depositing cash or cheques into bank?' or 'Which of these is not an internal user?'.

Repeat Pattern:

Occasional MCQs; memorize each document's primary use and party who keeps it.

Key Terms:

pay-in-slip

cash memo

cheque

counterfoil

43. Money measurement concept & Accounting Standards utility

High Conf.

Medium Priority

Appeared in: Paper 3 · Paper 1 · 2× total

Question types: MCQ: Assertion/Reason style | Short: 3-mark explanation

Kya Padhna Hai:

Understand Money Measurement: only items measurable in monetary terms are recorded; non-monetary factors (employee morale, brand reputation) excluded. Understand objectives and utility of Accounting Standards (IAS/Ind-AS): comparability, transparency, uniformity, reliability of financial statements.

Kaise Poochha Jaata Hai:

A-R MCQ or short 3-mark explanation: 'Explain money measurement concept' or 'Explain three objectives of IASB'.

Repeat Pattern:

Appears as small theory question; link to examples and consequences for accounting scope.

Key Terms:

money measurement

accounting standards

IASB

reliability

44. Cash Book with Cash + Bank and GST handling

Medium Conf.

Medium Priority

Appeared in: Paper 3 · Paper 2 · 2× total

Question types: Long: Cash Book practical with GST entries and posting (4 marks)

Kya Padhna Hai:

When purchases/sales include CGST/SGST or IGST, record Input/Output tax ledger lines alongside Cash/Bank entries. In the Cash Book, include separate input tax debits (Input CGST/SGST) and output tax credits for sales, and ensure correct deposit/collection entries when cheques are banked. Practice transaction sequences where GST is added on top of list price and trade/cash discounts are also applied.

Kaise Poochha Jaata Hai:

Given list of purchases/sales with GST rates, prepare Cash Book entries and related journal lines (Paper 3 example).

Repeat Pattern:

Occasionally appears when problems include GST; be ready to post tax ledgers correctly.

Key Terms:

CGST

SGST

IGST

input tax

45. Cheque dishonour & bank charges handling (effects on Cash Book and Journal)

High Conf.

Medium Priority

Appeared in: Paper 3 · Paper 1 · Paper 4 · 3× total

Question types: Short: Short adjustments in Cash Book | Long: Included in 4-mark Cash Book/BRS problems

Kya Padhna Hai:

When a cheque deposited is later dishonoured, reverse bank credit and record bank charges; debit the customer's account and debit Bank Charges A/c. If bank debits collection charges at the time of credit, record bank charges and adjust Cash Book. Practise entries for cheque returned and subsequent cash receipt from customer including bank charge recovery.

Kaise Poochha Jaata Hai:

Included in cash book/BRS practicals: e.g., 'Cheque received from Nakul dishonoured, Bank debits ₹20 in respect of this cheque for Bank Charges.'

Repeat Pattern:

Appears frequently within cashbook/BRS problems; prepare reversal and bank-charge entries.

Key Terms:

cheque dishonour

bank charges

reversal entry

customer account

46. Statement of Affairs / Single Entry net worth method

High Conf.

Medium Priority

Appeared in: Paper 1 · Paper 3 · Paper 4 · 3× total

Question types: MCQ: 1-mark conceptual | Short: 3-mark computation using net worth | Long: 6-mark statement of affairs & profit/loss preparation

Kya Padhna Hai:

Understand Net Worth method: prepare Statement of Affairs showing assets and liabilities at opening and closing dates, compute opening and closing capital and derive profit as (Closing Capital + Drawings - Fresh Capital) - Opening Capital. Include adjustments for introduced capital and drawings and depreciation on assets where instructed.

Kaise Poochha Jaata Hai:

Either MCQ asking 'In the case of the net worth method profit is ascertained by...' or a 6-mark problem asking to prepare Statement of Affairs and compute profit for trader who maintains incomplete records.

Repeat Pattern:

Appears as both MCQ and full practical in different papers; practise net-worth computations and preparation of statement of affairs.

Key Terms:

statement of affairs

net worth method

opening capital

closing capital

47. Journal entries for special events (fire, charity, theft)

High Conf.

Medium Priority

Appeared in: Paper 4 · Paper 2 · 2× total

Question types: Long: 6-mark journal proper task listing events like fire damage, charity, theft

Kya Padhna Hai:

Know standard journal entries: Loss by Fire A/c Dr. To Purchases/Stock; Insurance Claim A/c Dr. To Loss by Fire A/c when admitted; Charity entries: Charity A/c Dr. To Cash; Theft: Loss by Theft A/c Dr. To Cash/Stock. Understand partial recoveries from insurance and the treatment of admitted claim amounts.

Kaise Poochha Jaata Hai:

Given a long list of special events (e.g. 'Goods destroyed by fire ₹80,000, Insurance Claim lodged, Insurance company paid 80%'), pass appropriate journal entries.

Repeat Pattern:

Appears as journal proper tasks in Paper 4 and as multiple event journal sets in Paper 2/3.

Key Terms:

loss by fire

insurance claim

charity

48. Statement of Affairs / Incomplete Records profit computation (Paper 4 specific)

High Conf.

Medium Priority

Appeared in: Paper 4 · 1× total

Question types: Long: 6-mark statement of affairs problem

Kya Padhna Hai:

For incomplete records, prepare opening and closing Statement of Affairs listing assets and liabilities, compute opening and closing capital, adjust for drawings and additional capital introduced, and derive profit/loss by net worth method. Include depreciation and other adjustments when disclosed.

Kaise Poochha Jaata Hai:

Given opening and closing balances plus transactions like introduced capital and drawings, 'Prepare statement showing profit or loss for the year.'

Repeat Pattern:

Appears as a full 6-mark in Paper 4; essential skill for incomplete records section.

Key Terms:

statement of affairs

net worth

incomplete records

opening capital

49. GST handling in Cash Book / Sales & Purchases (CGST+SGST or IGST on transactions)

Low Conf.

Low Priority

Appeared in: Paper 3 · Paper 4 · 2× total

Question types: Long: Included in cash book ledger questions where GST is mentioned

Kya Padhna Hai:

- Record Input CGST and Input SGST on purchases and Output CGST/SGST on sales (Paper 3 'purchased goods ... plus CGST and SGST @ 6% each')
- When recording cash sales/purchases include separate GST columns in journal/Cash Book and carry to tax ledgers
- Treatment when IGST used for inter-state purchase vs CGST/SGST for intra-state (Paper 3 instruction)
- Effect on BRS/Cash Book when bank receives cheque for sale including GST and deposit entries

Kaise Poochha Jaata Hai:

Appear as part of Cash Book with tax columns — expect explicit numeric GST calculation and posting to Input/Output GST ledger.

Repeat Pattern:

Appears occasionally when cashbook examples include GST; not in every paper.

50. Manager commission on net profit (pre-commission basis) and profit-related adjustments

Low Conf.

Low Priority

Appeared in: Paper 4 · 1× total

Question types: Long: 6-mark final accounts with manager commission calculation

Kya Padhna Hai:

- Compute manager's commission as percentage of net profit before charging such commission (Paper 4 'Manager is to get 10% commission on net profit before charging such commission')
- Order of operations: compute net profit before commission, compute commission, then net profit after commission
- Impact on P&L and Capital — commission is an expense charged to P&L and added to profit distribution
- When there is net loss, commission may be nil — check paper's note (Paper 4 'As there is Net Loss, no commission will be given to the manager')

Kaise Poochha Jaata Hai:

As part of a full final accounts question; calculate and show working in P&L A/c before transfer to capital.

Repeat Pattern:

Less frequent — appears in Paper 4 final accounts only in this set.

Related Topic Pairs

Yeh topics exam mein aksar ek saath poochhe jaate hain — inhe milake padho.

1. Bank Reconciliation Statement — often combined with Cash Book (Two-column) problems: practise both together because cheques-in-hand/cheques deposited items appear in same question sets.

2. Depreciation (SL or WDV) — always paired with Machinery Disposal: when machine sold you must compute accumulated depreciation and profit/loss on disposal.

3. Provision for Doubtful Debts — frequently paired with Bad Debts written off/recovery in the same final accounts question; both change P&L and debtors presentation.

Apni Strategy Chuno

Pick your goal — here's exactly which topics to study based on past paper patterns.

□ *Bas Pass Hona Hai*

Just want to pass — 23 of 50 topics · ~56% marks coverage

1. Voucher types: Debit, Credit, Cash, Transfer (identify & which used)
2. Bank Reconciliation Statement (prepare BRS and adjust Cash Book)
3. Two-column Cash Book (Cash and Bank columns) entries & balancing
4. Journal entries for trade transactions: trade discount, cash discount, returns, settlement with discount
5. Rectification of errors and Suspense Account preparation
6. Depreciation — Straight Line Method (fixed instalment on original cost)
7. Provision for Doubtful Debts: calculate %, adjust provision & P&L treatment
8. Adjusting entries: Prepaid (unexpired) expenses and Accrued (outstanding) income/expenses
9. Trading, Profit & Loss Account and Balance Sheet preparation from Trial Balance + adjustments
10. Machinery account multi-year schedule (purchase, sale, depreciation, disposal) with partial-year purchases
11. Rectification of errors & Suspense Account
12. Provision for Doubtful Debts / Bad Debts
13. Adjusting entries: Prepaid / Accrued (prepaid insurance, accrued commission, outstanding expenses)
14. Trading, Profit & Loss and Balance Sheet preparation (from Trial Balance + adjustments)
15. Prepare Ledger from Journal — stepwise process
16. Inventory valuation: closing stock valuation rule (cost or NRV whichever lower) and fire/destruction adjustments
17. Capital vs Revenue expenditure classification with given scenarios
18. Credit/ Cash/ Transfer Vouchers
19. Ledger preparation from Journal
20. Trade vs Cash Discount entries (calculation & journal)
21. Machinery disposal: profit / loss on sale (journal & disposal account)
22. Machinery accounts across years (Straight Line original cost) including partial disposals
23. Rectification with Suspense Account (Paper 2 style errors)

□ Average Score Chahiye

Decent score — 48 of 50 topics · ~98% marks coverage

1. Voucher types: Debit, Credit, Cash, Transfer (identify & which used)
2. Bank Reconciliation Statement (prepare BRS and adjust Cash Book)
3. Two-column Cash Book (Cash and Bank columns) entries & balancing
4. Journal entries for trade transactions: trade discount, cash discount, returns, settlement with discount
5. Rectification of errors and Suspense Account preparation
6. Depreciation — Straight Line Method (fixed instalment on original cost)
7. Provision for Doubtful Debts: calculate %, adjust provision & P&L treatment
8. Adjusting entries: Prepaid (unexpired) expenses and Accrued (outstanding) income/expenses
9. Trading, Profit & Loss Account and Balance Sheet preparation from Trial Balance + adjustments
10. Machinery account multi-year schedule (purchase, sale, depreciation, disposal) with partial-year purchases
11. Rectification of errors & Suspense Account
12. Provision for Doubtful Debts / Bad Debts
13. Adjusting entries: Prepaid / Accrued (prepaid insurance, accrued commission, outstanding expenses)
14. Trading, Profit & Loss and Balance Sheet preparation (from Trial Balance + adjustments)
15. Prepare Ledger from Journal — stepwise process
16. Inventory valuation: closing stock valuation rule (cost or NRV whichever lower) and fire/destruction adjustments
17. Capital vs Revenue expenditure classification with given scenarios
18. Credit/ Cash/ Transfer Vouchers
19. Ledger preparation from Journal
20. Trade vs Cash Discount entries (calculation & journal)
21. Machinery disposal: profit / loss on sale (journal & disposal account)
22. Machinery accounts across years (Straight Line original cost) including partial disposals
23. Rectification with Suspense Account (Paper 2 style errors)
24. Bank cheque dishonour and bank charges: journal & Cash Book effects
25. Trial Balance errors — common types that do not affect trial balance (limitations) and detection
26. Provision & treatment of Bad Debts recovered (write off & recovery journal flow)
27. Rectify purchases/sales & book-keeping posting errors (book-source misposting between day books)
28. Journal Proper: non-routine entries (insurance claim, loss by fire, acceptance of bills, commission in advance)
29. Treatment of drawings (goods and cash) and effect on capital
30. Computation of Gross Profit / Cost of Goods Sold from given ratios (GP% on cost or sales)
31. Final accounts effect of loan interest outstanding and interest charged by bank (outstanding interest treatment)
32. Trial Balance extraction & presentation
33. Purchases/Sales/Journal to ledger posting (posting practice)
34. Cash Book with discount columns (discount allowed/received handling)
35. Cheque dishonour & bank charges handling (effects on Cash Book and Journal)
36. Statement of Affairs / Single Entry net worth method
37. Depreciation — Written Down Value (WDV) method & machinery disposal (WDV)
38. Petty Cash Book — Imprest system (analytical form)
39. Sales Book and Purchases Book preparation (subsidiary books)
40. Cash vs Accrual basis: computation & conceptual differences
41. Single Entry / Statement of Affairs / Net worth method (profit from incomplete records)
42. Subsidiary books: Purchases/Sales books
43. Depreciation — Written Down Value method (calculation and disposal)
44. Source documents: Pay-in-slip / Cash memo / Cheque (usage & role)
45. Money measurement concept & Accounting Standards utility
46. Cash Book with Cash + Bank and GST handling
47. Journal entries for special events (fire, charity, theft)
48. Statement of Affairs / Incomplete Records profit computation (Paper 4 specific)

▣ Top Karna Hai

Full coverage — all 50 topics · 100% marks coverage

1. Voucher types: Debit, Credit, Cash, Transfer (identify & which used)
2. Bank Reconciliation Statement (prepare BRS and adjust Cash Book)
3. Two-column Cash Book (Cash and Bank columns) entries & balancing
4. Journal entries for trade transactions: trade discount, cash discount, returns, settlement with discount
5. Rectification of errors and Suspense Account preparation
6. Depreciation — Straight Line Method (fixed instalment on original cost)
7. Provision for Doubtful Debts: calculate %, adjust provision & P&L treatment
8. Adjusting entries: Prepaid (unexpired) expenses and Accrued (outstanding) income/expenses
9. Trading, Profit & Loss Account and Balance Sheet preparation from Trial Balance + adjustments
10. Machinery account multi-year schedule (purchase, sale, depreciation, disposal) with partial-year purchases
11. Rectification of errors & Suspense Account
12. Provision for Doubtful Debts / Bad Debts
13. Adjusting entries: Prepaid / Accrued (prepaid insurance, accrued commission, outstanding expenses)
14. Trading, Profit & Loss and Balance Sheet preparation (from Trial Balance + adjustments)
15. Prepare Ledger from Journal — stepwise process
16. Inventory valuation: closing stock valuation rule (cost or NRV whichever lower) and fire/destruction adjustments
17. Capital vs Revenue expenditure classification with given scenarios
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22. Machinery accounts across years (Straight Line original cost) including partial disposals
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24. Bank cheque dishonour and bank charges: journal & Cash Book effects
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27. Rectify purchases/sales & book-keeping posting errors (book-source misposting between day books)
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29. Treatment of drawings (goods and cash) and effect on capital
30. Computation of Gross Profit / Cost of Goods Sold from given ratios (GP% on cost or sales)
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43. Depreciation — Written Down Value method (calculation and disposal)
44. Source documents: Pay-in-slip / Cash memo / Cheque (usage & role)
45. Money measurement concept & Accounting Standards utility
46. Cash Book with Cash + Bank and GST handling
47. Journal entries for special events (fire, charity, theft)
48. Statement of Affairs / Incomplete Records profit computation (Paper 4 specific)
49. GST handling in Cash Book / Sales & Purchases (CGST+SGST or IGST on transactions)

Overall Exam Strategy

Bas Pass Hona Hai: focus on the exact repeated practicals — cash book/BRS, journal posting (trade+cash discounts), rectification+suspense, machinery depreciation (multi-year), provision for doubtful debts, adjusting entries and full final accounts. Master formats and stepwise workings; practise identical-wording problems from past papers.